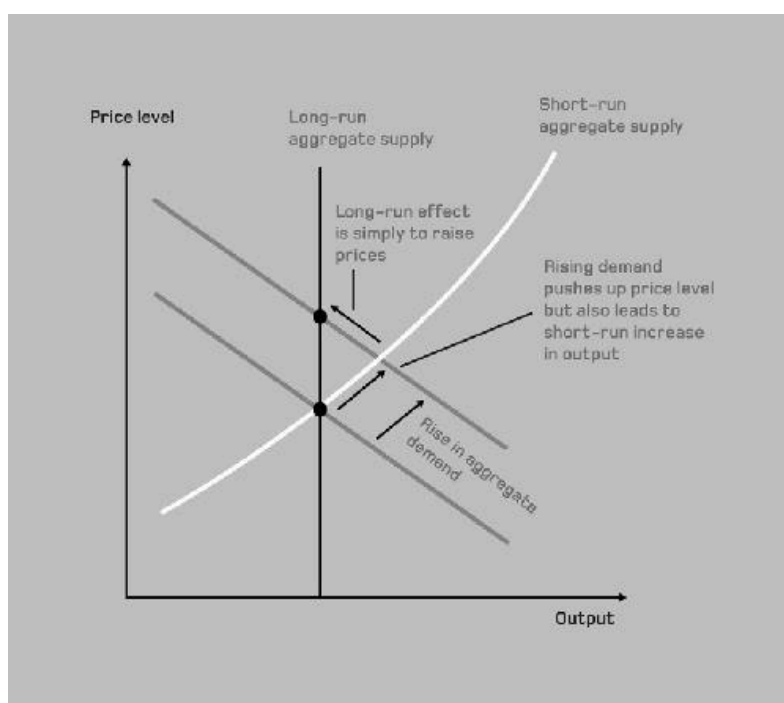


Aggregate demand and supply

Aggregate demand is the relationship between the price level and output demanded. Aggregate supply links the supply of output with price. Together they determine the output and price level in an economy. At low prices, aggregate demand is high as consumers' purchasing power is enhanced. Low prices also cut real interest rates, stimulating investment. Many economists believe that aggregate supply is unaffected by prices in the long run: this is because potential output depends on the actual capital, labour and technology available for making goods. In the short run, it is possible that higher prices might stimulate supply, but this can't be sustained.

The aggregate demand relationship can shift: an oil windfall might increase demand at every price level. In the short run, this may increase output, although in the long run because aggregate supply is unaffected the only impact is higher price levels. If supply is not influenced by prices, then the only way to achieve higher output in the long run is through investment.



Higher aggregate demand may stimulate output in the short run, but may be felt later in higher prices.